The AI Capex Signal

Broadcom's $100B AI forecast. S&P +0.71%. Crypto holds. Fear & Greed 22. Tariffs this week.

MARKETS

WEDNESDAY DELIVERED: S&P +0.71%, NASDAQ +1.29%, DOW +0.49%. The S&P closed at 6,869.50, snapping back into the green for the week. Nasdaq at 22,807. UVXY collapsed 5.70%—fear sellers in control for a second straight day. Tech (+1.70%) and discretionary (+1.78%) led again, while energy (–0.58%) and staples (–0.66%) were the only sectors red. The pattern: Monday flat, Tuesday –0.9%, Wednesday +0.78%, compressing the war premium day by day.

The macro catalyst: ADP reported stronger-than-expected private job growth. ISM Non-Manufacturing confirmed the service economy expanding at its fastest clip since mid-2022, with the price index cooling to near one-year lows. Two consecutive Goldilocks prints—growth resilient, inflation cooling—directly countering the oil-shock-stagflation narrative.

This morning is more cautious. S&P futures –0.3%, Dow –0.2%, Nasdaq flat. Brent crude is back to $84 as Iran vowed to escalate retaliation. Bessent confirmed 15% global tariffs take effect this week. The dual overhang of war + tariffs is capping the bounce. Jobless claims data today, jobs report tomorrow.

Broadcom (AVGO) crushed it last night. EPS $2.05 vs $1.88 estimate. Revenue $19.3B (+29% YoY), beating $19.1B consensus. AI revenue hit $8.4B, up 106% YoY. Q2 guidance: $22B vs $20.56B estimate—a massive beat. CEO Hock Tan: line of sight to over $100 billion in AI chip revenue in 2027. Called out 1 GW of Google TPUs for Anthropic in 2026, 3+ GW in 2027. Meta's MTIA roadmap alive and well. OpenAI deploying 1+ GW custom silicon in 2027. $10B buyback authorized. Stock +5% after hours.

IOWN Tactical: S&P at 6,870. Futures pulling back modestly. Still well above –20% trigger from ATH. The ISM + ADP + AVGO trifecta gives the bull case ammunition, but tariff implementation and Brent at $84 create headwinds. Earnings today: Kroger, Costco, Marvell Technology.

IOWN HOLDINGS: THE SESSION

CRYPTO INFRASTRUCTURE DOMINATED AGAIN. Top 5 unchanged: COIN +14.57% ($208.93), HUT +13.89% ($54.21), ETHA +8.84% ($16.25), HOOD +8.07% ($82.21), MARA +7.27% ($9.29). Double-digit gains two consecutive days. BTC held above $72K. The GENIUS Act is the regulatory catalyst—Trump pushing banks to allow crypto yield products.

Semis continued their run: AMD +5.82% ($202.07), LRCX +2.63% ($222.99), TEL +2.31% ($209.02), NVDA +1.66% ($183.04), TSM +1.22% ($357.44). The AVGO blowout will extend this today. Tan's $100B AI chip forecast validates the entire semiconductor supply chain—and our LRCX, NVDA, NXPI, TSM, and AMD positions sit squarely in it.

VLO +3.62% ($225.60) was our top dividend mover—refiners continue to benefit from the crude/product spread. PCAR +3.08%, BKH +1.97%, CAT +1.36%. Losers: STLD –1.79%, CVX –1.45%, AEM –0.76%. Steel repricing on tariff uncertainty; Chevron selling as oil flattens.

Benchmarks: DVY +0.47%, IWS +0.36%, IUSG +1.01%. Growth outperforming value again. Two-day cumulative: IUSG +2.26% vs DVY +1.14%. Think Like an Owner.

DIGITAL ASSETS

BTC $72,520 (+1.66% 24h). ETH $2,122 (+3.06% 24h). Holding gains from yesterday's surge. IBIT +7.08% ($41.44), ETHA +8.84% ($16.25). BTC dominance steady at 57.3%, total crypto market cap $2.53T.

Fear & Greed moved from 10 to 22—still Extreme Fear, but recovering. Single-digit readings historically mark cycle bottoms; the bounce to 22 in 48 hours while BTC holds $72K+ suggests the worst of the panic selling is over. The four-month ETF outflow streak may be breaking.

The GENIUS Act remains the regulatory tailwind. Iranian operatives have reportedly reached out to the US to explore peace talks—if realized, the geopolitical risk premium that's been suppressing crypto since October unwinds fast.

GEOPOLITICS

DAY 6 OF OPERATION EPIC FURY. Iran vowed overnight to escalate retaliation, pushing Brent back toward $84. But the bigger headline: Iranian operatives have contacted the US to explore potential peace talks. If confirmed, this is the first de-escalation signal since Feb 28. Markets will be extremely sensitive to any diplomatic progress.

Bessent confirmed 15% global tariffs take effect this week—a separate headwind. The dual-front risk (tariffs + conflict) is why futures are cautious despite yesterday's rally. NATO's Rutte says the alliance will keep supporting Ukraine despite Iran. Gulf countries

expressing concerns about a potential Iranian civil war.

Travel industry facing $11.7T in threatened global revenue. South Korea's Kospi in freefall (–12% yesterday, circuit breakers triggered). But US equities continue to absorb the international carnage.

ON CARSON'S RADAR

1. Broadcom's $100B AI forecast changes the narrative. $8.4B Q1 AI revenue (+106% YoY), $22B Q2 guidance, Anthropic/Google/Meta/OpenAI all building on Broadcom silicon. Most important earnings since NVDA last quarter. Our semi sleeve (LRCX, NVDA, AMD, NXPI, TSM) is directly in this supply chain. GTC in 11 days.

2. Tariffs are the new headwind. 15% global tariff taking effect this week. Was backgrounded by the war but now front and center. Watch our international-facing names (PDD, TSM, ATAT) through implementation.

3. Fear & Greed at 22, up from 10. Still Extreme Fear. Still contrarian buy territory. Recovery from 10 to 22 in two days while crypto rallied 7%+ and S&P rallied 1.5%+ cumulative shows the rubber band snapping back.

4. Iran peace talks signal. If Iranian operatives are genuinely reaching out, the war premium in oil collapses fast. Brent from $84 to sub-$70 is plausible in a ceasefire. That would be the single most bullish catalyst for equities this year.

5. Earnings today: Costco, Kroger, Marvell. Consumer spending read (COST, KR) plus another AI infrastructure data point (MRVL). Marvell's data center chip commentary matters for the semi narrative.

6. Jobs report tomorrow. The market needs confirmation that the labor market is resilient but not overheating. A Goldilocks print keeps the recovery going. A hot number brings rate cut fears back.

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